TED(21)- 5254C **REVISION 2021**

MODEL QUESTION PAPER
BANKING AND FINANCIAL SYSTEM - SET I

(Maximum marks: 75) **(Time: 3 hours)**

PART A

I. Answer all questions in one word or one sentence. Each question carries one mark.

(9 x 1 = 9 marks)

1	A …………is like any other bank, but operating on a smaller scale without involving any credit risk.	M 1.08	R
2	A -----is a bank which is included in the second schedule of RBI Act, 1934.	M 1.04	R
3	------banks are those banks which are not owned, managed and controlled by the government.	M 1.05	R
4	----- is an unconditional order, drawn on a specified banker and is always payable on demand a) Cheque b) Promissory Notes c) loans d) Advances	M 2.03	R
5	……………. means signature of the holder made with object of transferring the document	M 2.04	U
6	A company which is a financial institution carrying on as its principal business the financing of physical assets supporting productive/economic activity is known as ………….	M 3.01	R
7	Recall the term Call Money	M 4.07	R
8	The financial institution engaged in the principal business of managing, conducting and supervising the chit scheme. a) Insurance company b) Hire Purchase company c) Chit fund Company d) None of the above	M 3.05	U
9	The market where the existing securities of companies are traded is a) Primary Market b) Secondary Market c) Money market d) Derivative Market	M 4.03	U

PART B

II. Answer any eight questions from the following. Each question carries 3 marks

(8 x 3 = 24marks)

1	List out any Three difference between Private bank and Public Bank	M 1.05	U
2	Give a short note on the Credit creation.	M 1.07	U
3	Recall the meaning of a) Cheque b) Bill of Exchange c) Promissory Note	M 2.03	R
4	Ajith is carrying out a banking business. Ramesh is a customer of bank. Explain the various relationship that will be existing between Ajith and Ramesh.	M 2.02	A
5	Describe any three Development Banks	M 3.03	R
6	Arun carries out a business under which he provides an arrangement for buying expensive consumer goods, where the buyer makes an	M 3.07	A

	initial down payment and pays the balance plus interest in installments. Identify the NBFC in which Arun is engaged and Give any three features of it		
7	Outline the structure of Indian Financial System	M 4.01	R
8	Define the term financial services and give any four examples.	M 4.10	U
9	Explain any three Differences between small finance bank and payment banks	M 1.11	U
10	Describe any three NBFC	M 3.04	R

PART C

Answer all questions. Each question carries seven marks

(6x7=42 marks)

III	a) Define the term banking (1) b) Explain the role of banking in business (6)	M1.02	U
	OR		
IV	a) Define the term Commercial Banks (1) b) Outline the structure of commercial banks in India (6)	M1.03	U
V	Manoj is interested to start a banking business. He is interested to know about the regulations existing in banking industry. Help him by explaining about any 6 important provisions in Banking Regulation Act 1934.	M2.05	A
	OR		
VI	Ram and Manu are friends. They came to know that a new commercial bank is started in the village. They are not aware about the services rendered by commercial banks. If they approach you how would you explain it to them. (Hint : any 6 services)	M2.06	A
VII	Describe any 6 Differences between Bank and NBFC	M3.02	U
	OR		
VIII	a) Recall the term NBFC. (1) b) Explain various functions of NBFC. (6)	M3.01	U
IX	a) Describe any three defects of Indian Money Market. (3) b) Give any four suggestions for improvements of money market. (4)	M4.06	U
	OR		
X	a) Describe any three defects of Indian Capital Market (3) b) Give any four suggestions for improvements of Capital market. (4)	M4.04	U
XI	a) Define Financial instruments (1) (b) Write notes on the following financial terms i) Equity shares ii) Treasury Bills iii) Repurchase agreement (6)	M4.09	U
	OR		
XII	Explain various money market instruments .	M4.07	U
XIII	a) Outline the Primary Functions of Commercial Bank (3) b) Explain Secondary Functions of Commercial banks (4)	M1.06	U
	OR		
XIV	a) Explain activities undertaken by payment banks (3) b) Explain registration and licensing requirement of small finance bank. (4)	M1.09	U

MODEL QUESTION PAPER
BANKING AND FINANCIAL SYSTEM - SET II

(Maximum marks: 75) **(Time: 3 hours)**

PART A

I. Answer all questions in one word or one sentence. Each question carries one mark.

(9 x 1 = 9 marks)

	Match the Following:-			
1	Negotiable instrument	a) Cheques	M 2.02	U
2	Capital Market	b) Hire purchase	M 4.03	U
3	NBFC	c) Payment banks	M 3.01	U
4	Small finance banks	d) shares	M 1.11	U
5	------- is legislation in India that regulates all banking firms in India.		M 2.05	R
6	------- are financial institutions that offer various banking services but do not have a banking license		M 3.01	R
7	------- is a market which facilitates the exchange of financial instruments and securities.		M 4.02	R
8	------- are short term promissory notes issued by RBI on behalf of central government		M 4.07	R
9	Banks which come under second schedule of banking regulation Act is ………		M 1.02	R

PART B

II. Answer any eight questions from the following. Each question carries 3 marks

(8 x 3 = 24marks)

1	Differentiate between scheduled banks and Nonscheduled banks.	M 1.04	U
2	List out various activities which can be undertaken by Payment banks	M 1.10	R
3	Manu received a cheque from Sandeep. He noticed that, name and signature was provided on the back of cheque. What does it mean? Is it necessary? Substantiate your answer	M 2.04	U
4	Differentiate between General crossing and Special crossing	M 2.04	U
5	Explain any three NBFI	M 3.01	R
6	Anoop is having excess savings. He is interested to invest in securities market. But he lacks the specialization and knowledge with respect to security market. What suggestion you can give to help Anoop in his investment decision.	M 4.03	A
7	State the meaning of financial market. Give the classification of financial market	M 4.02	R
8	Explain any three components of capital market	M 4.03	R
9	Outline any six features of Hire Purchase Company	M 3.07	U
10	Outline the similarities of payment bank and small finance banks	M 1.11	U

PART C

Answer all questions. Each question carries seven marks

(6x7=42 marks)

III	Explain the structure of Commercial banking in India OR	M1.03	U
IV	Describe various services offered by banks.	M1.06	U
V	a) Outline the meaning of endorsement (1) b) Explain any 3 types of endorsement. (6) OR	M2.04	A
VI	a)Define the term negotiable Instruments (1) b) Explain any three negotiable instrument (6)	M2.02	U
VII	Arun and Varun are friends. Arun argues that banks and NBFC are one at the same but Varun disagrees with Arun's argument. Whom do you support? Express your views. OR	M3.02	U
VIII	Explain a) Insurance companies b) Chit fund companies c) Hire purchase Companies.	M3.04	U
IX	Aditi recently got job and now she is interested to save a part of her income. If you are financial advisor, in which market would you advise her to invest in? Substantiate with its advantages. OR	M4.02	A
X	Rohan is interested to invest his savings in Financial instruments. But he is not aware of the various types of Financial instruments in India. As an advisor, explain him about any SIX financial instruments.	M4.09	A
XI	a) Define the Term Small finance banks (1) b) Explain the activities undertaken by small finance banks (6) OR	M1.10	R
XII	a) Explain Primary Functions of Commercial banks. (3) b) Describe Secondary Functions of Commercial banks (4)	M1.06	R
XIII	a) Give the meaning of Money Market. (1) b) Outline any Three Money market Instruments (6) OR	M4.05	R
XIV	a) Describe any three defects of Indian Money market (3) b) Give any four suggestions for improvement of Indian Money Market (4)	M4.06	R